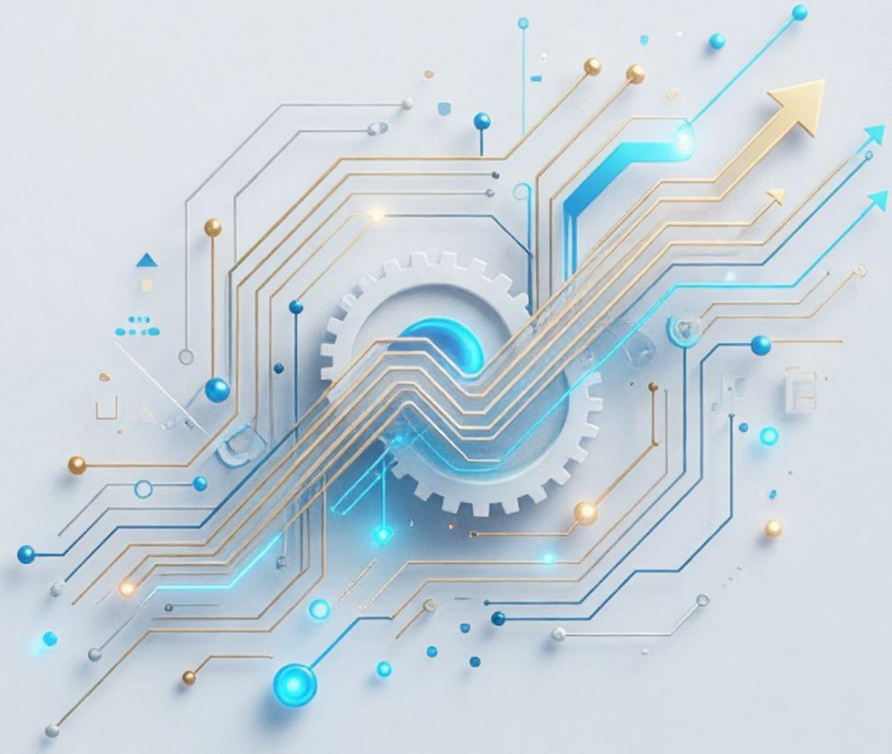
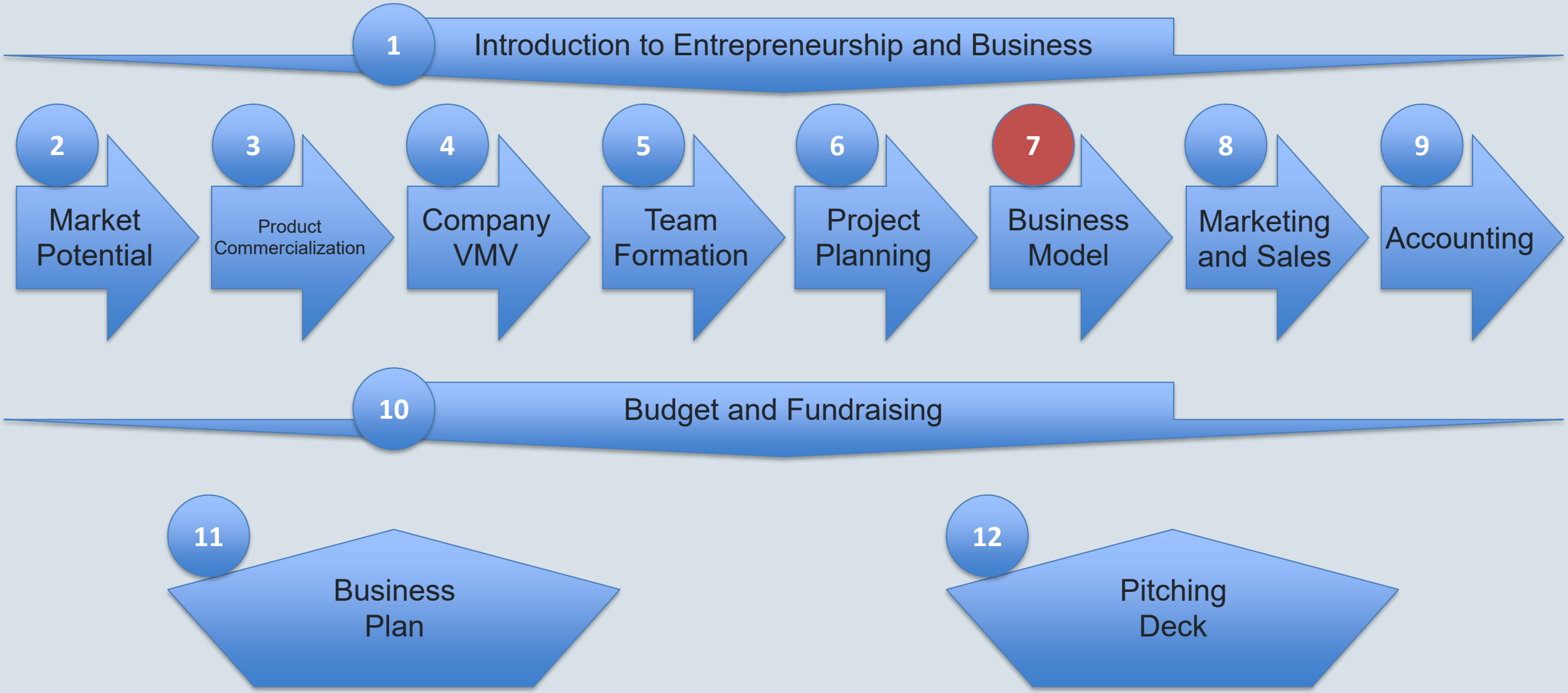
Business Models Strategies

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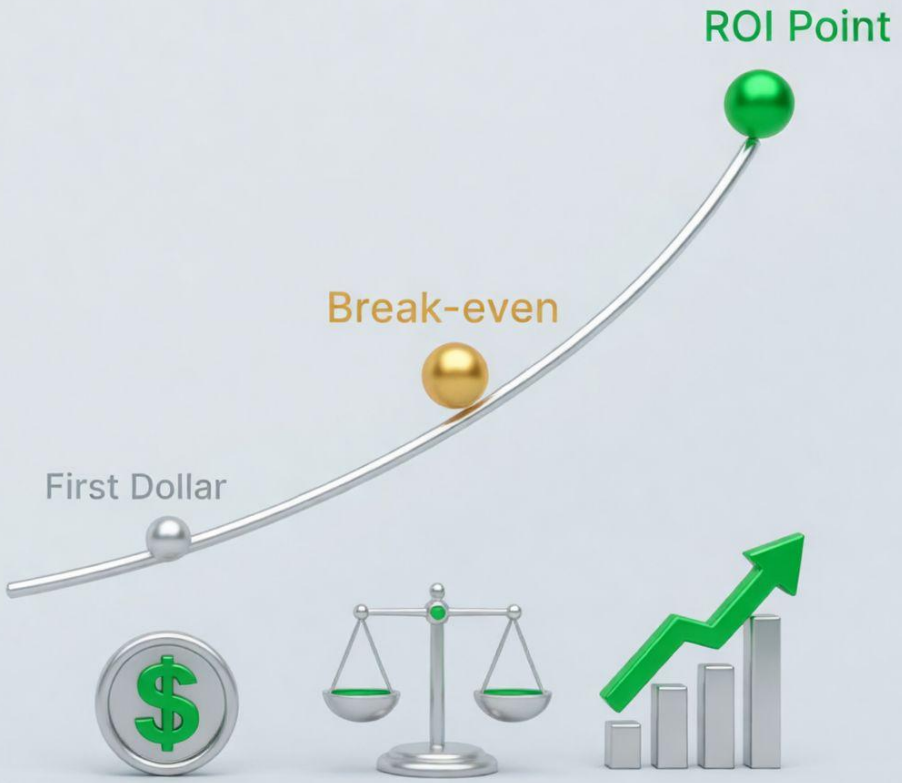
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Outline of the Course



Chapter 1: Business Evaluation - First Dollar Point, Break-even Point, and Return on Investment Point

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1) Business Evaluation

What is the stage of your startup?



Startup ?



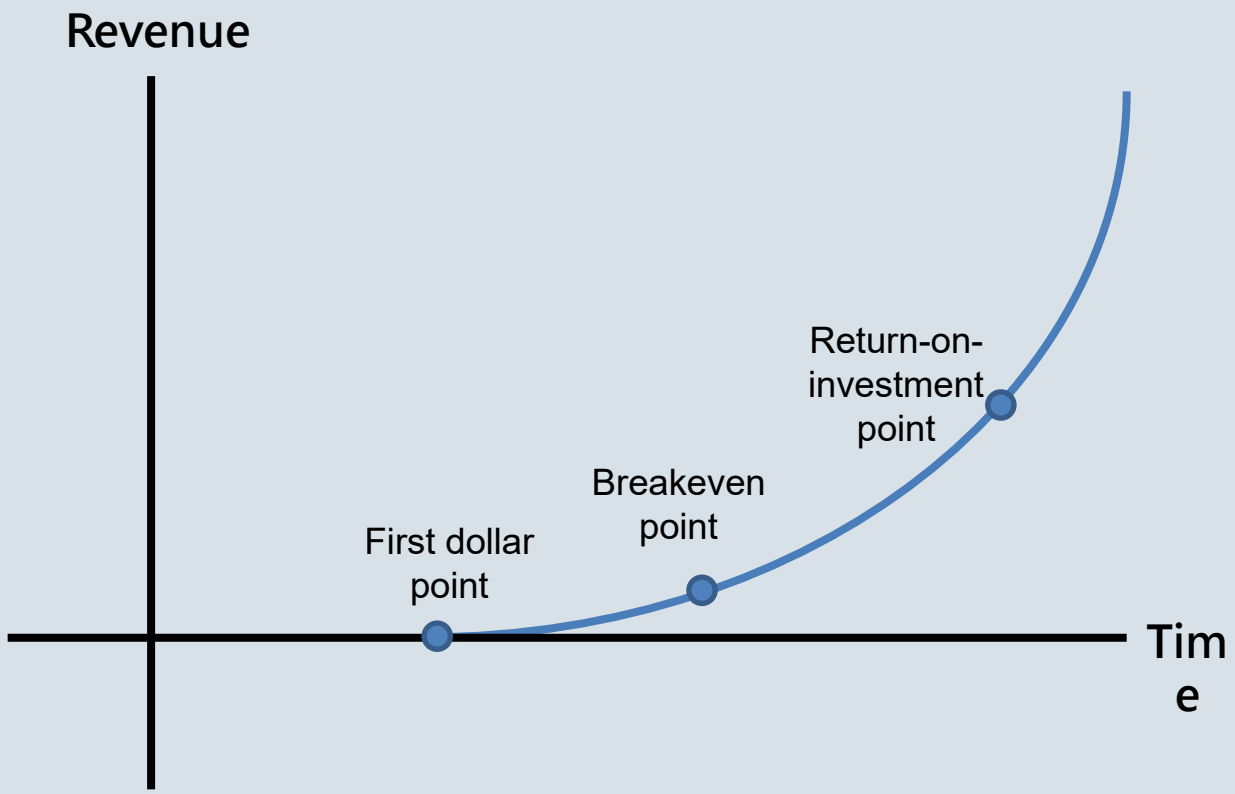
Scale up ?



Mature ?

Business Evaluation

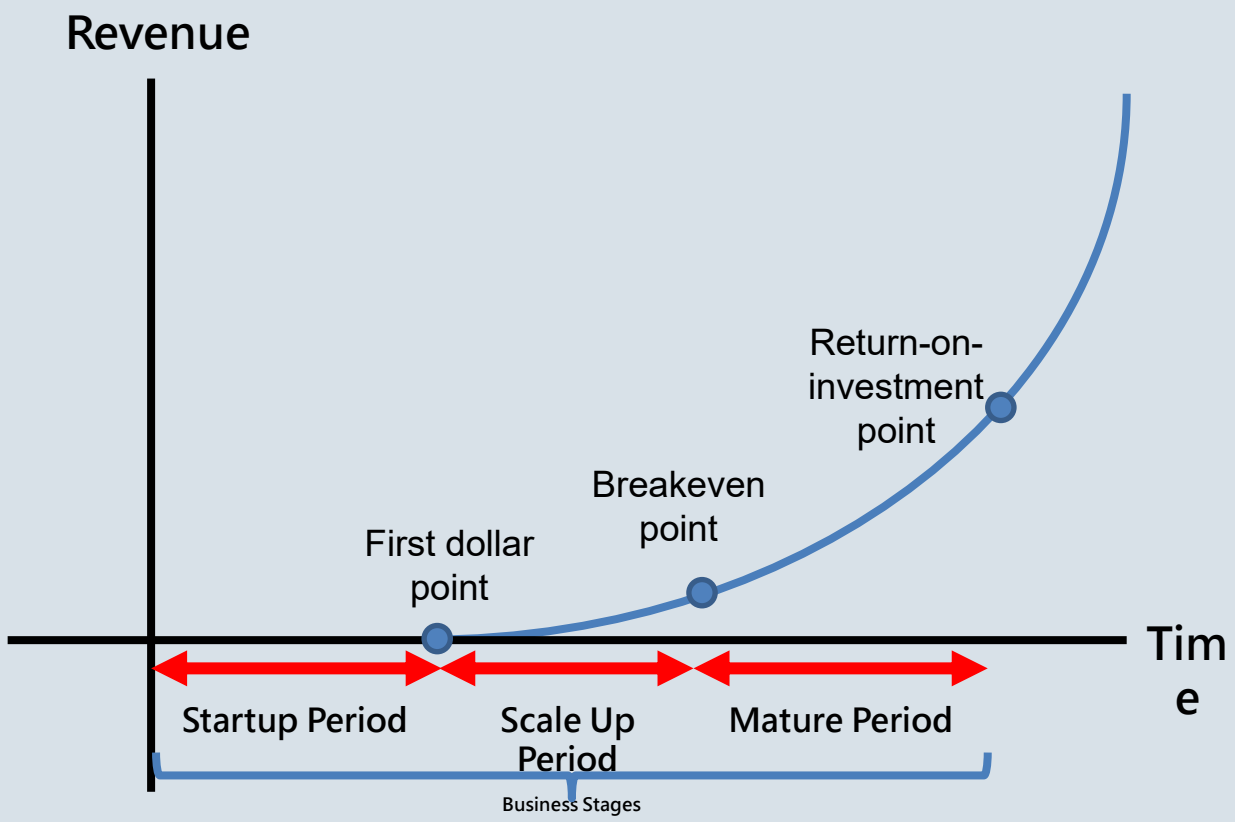
Three important points for business stages:



1. The first dollar point is the time when your business gaining first order for your first dollar revenue.
2. The breakeven point is the time when your business's monthly expense covering by the monthly revenue.
3. The return-on-investment point is the time when your business obtaining the net profit equal to the investment amount.

Business Evaluation

Three important points for business stages:



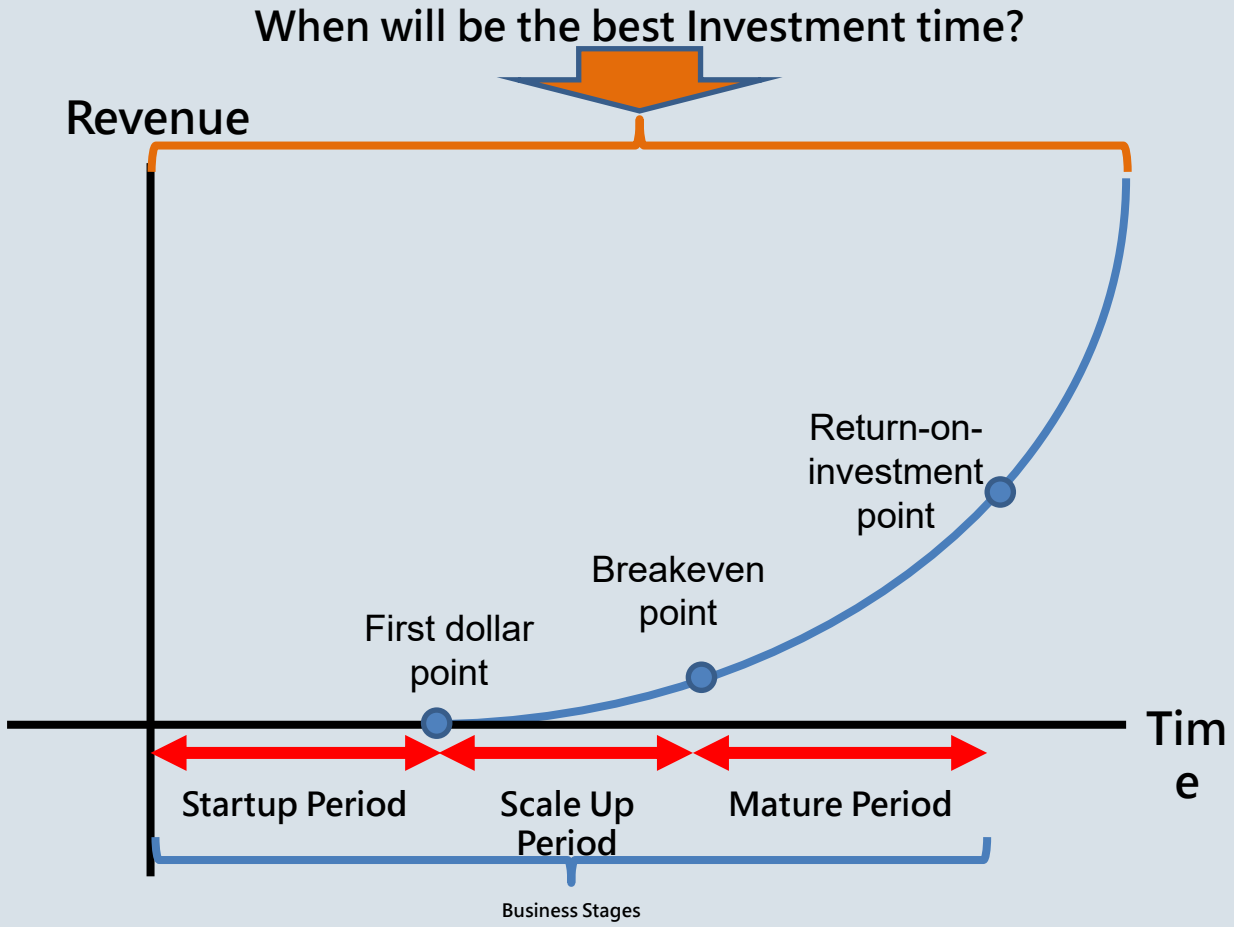
1. Before the first dollar point, the business is startup stage which means from 0 to 1.
2. After the first dollar point to breakeven point, the business is scale up stage which means from 1 to 10.
3. Until the business reaches return on investment point, the business start earning net profit which is in growing stage which means from 10 to 100+.

Business Evaluation

If you were an investor, which stage do you want to invest? Why?

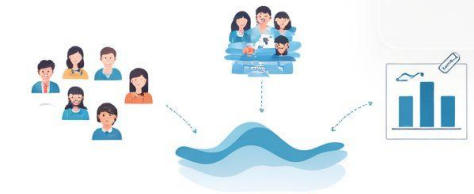
1. Startup stage
2. Scale up stage
3. Growing stage

- Which stage is the lowest cost?
- Which stage is the lowest risk?
- Which stage has the significant increase in cost?

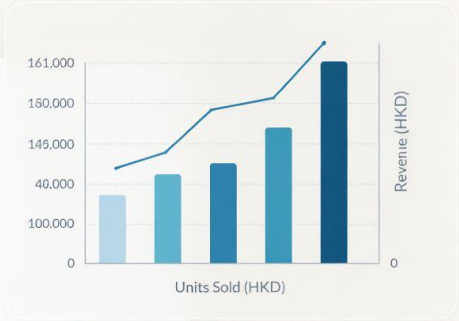


Revenue and Cost Forecasting

Revenue Forecasting Method



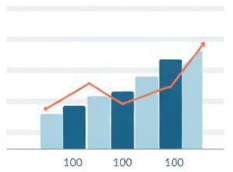




Senstivity and Decision Impact



Market 8.1M



Budgeting Inventory Capital Reserves

Example Calculation

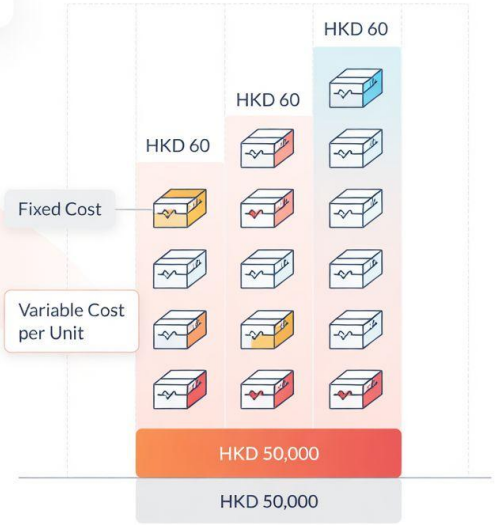
Month 1: Revenue HKD 100,000	HKD 110,000
Cost	Monthly Net Loss HKD -10,000 ⚠

Integrated Forecasting Techniques



Market-Based Resource-Based Value-Based

Cost Forecasting Approach



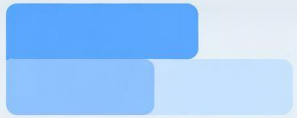
Profit Margin Assessment

Gross Profit Margin (GPM)



Revenue
Cost of Goods Sold

Net Profit Margin (NPM)



Revenue
Net Profit

financial snapshot

Revenue	Expenses	Net Profit
HKD 100,000	HKD 60,000	HKD 40,000

40%

Better Margin = Competitive Edge

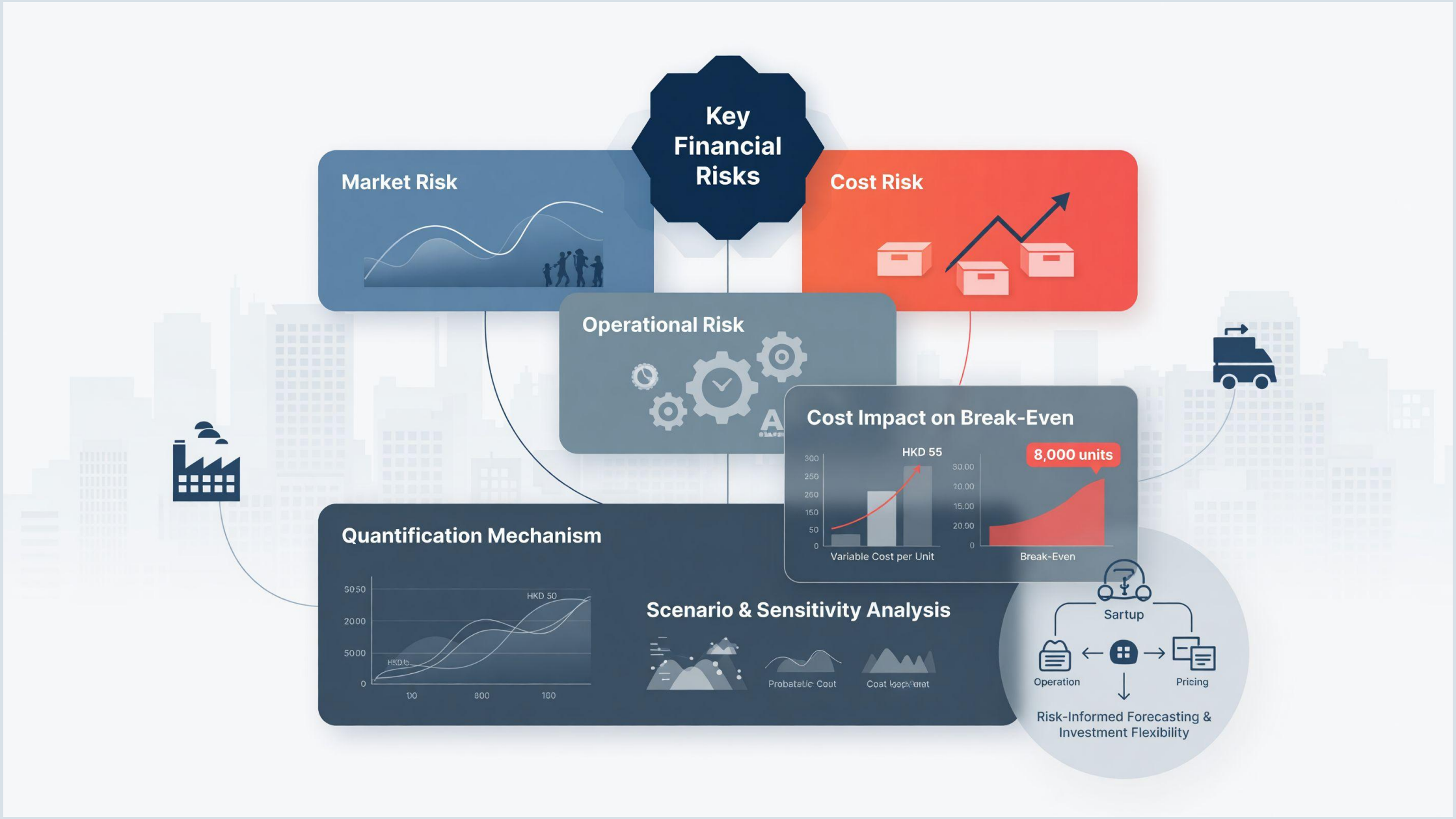
Benchmark vs. Industry

Focus + Reduce Costs

Cash Flow Modelling



Risk Evaluation in Business Finance



Chapter 2: Business Cycle Evaluation

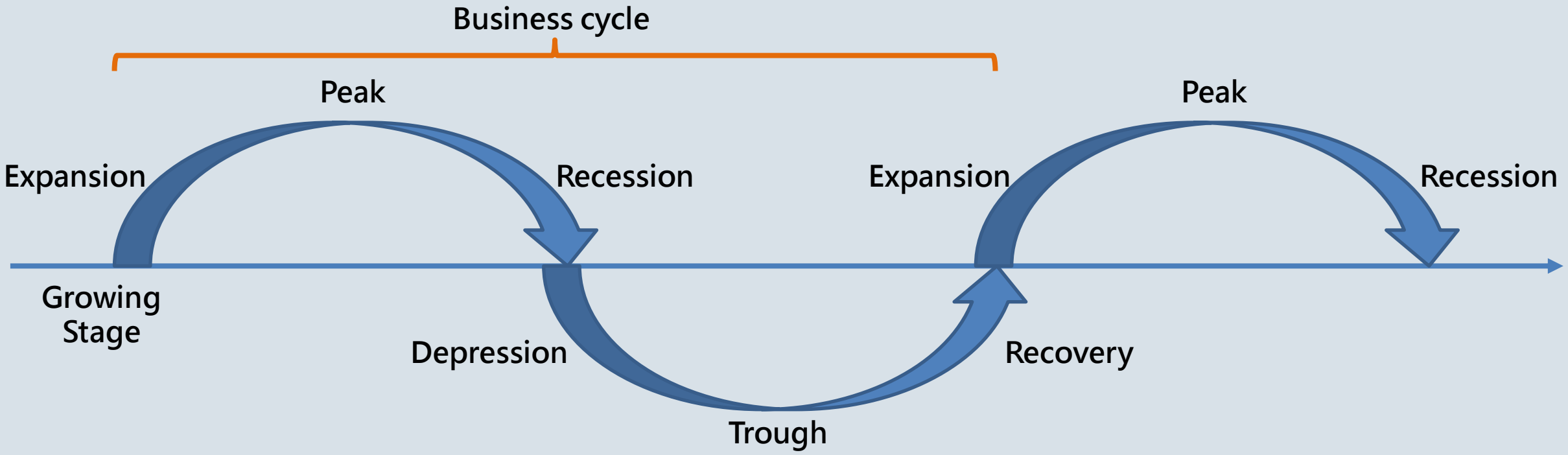
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Business Cycle

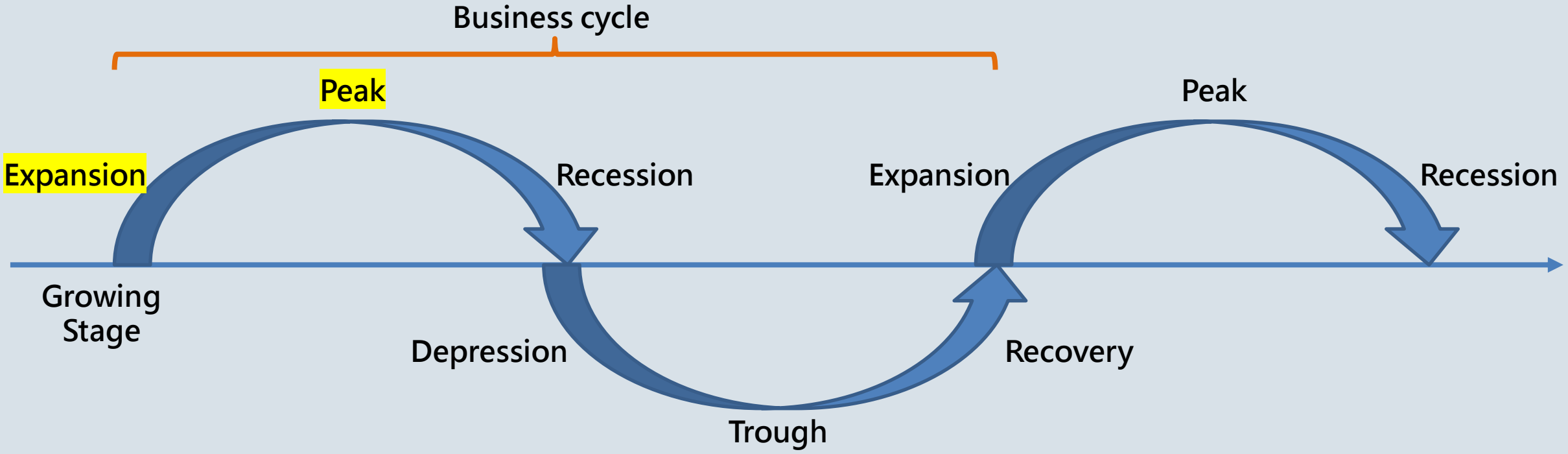
After the business growing stage, the business is a proven business and enter the business cycle. Business cycle is a cycle of expansion and contraction that business undergo over time. In general, the business cycle consists of 6 distinct phases: expansion; peak; recession; depression, trough and recovery.



Business Cycle

1. Expansion
The first stage in the business cycle is expansion. In this stage, there is an increase in positive economic indicators such as employment, income, output, wages, profits, demand, and supply of goods and services. Debtors are generally paying their debts on time, the velocity of the money supply is high, and investment is high. This process continues as long as economic conditions are favorable for expansion.

2. Peak
The economy then reaches a saturation point, or peak, which is the second stage of the business cycle. The maximum limit of growth is attained. The economic indicators do not grow further and are at their highest. Prices are at their peak. This stage marks the reversal point in the trend of economic growth. Consumers tend to restructure their budgets at this point.



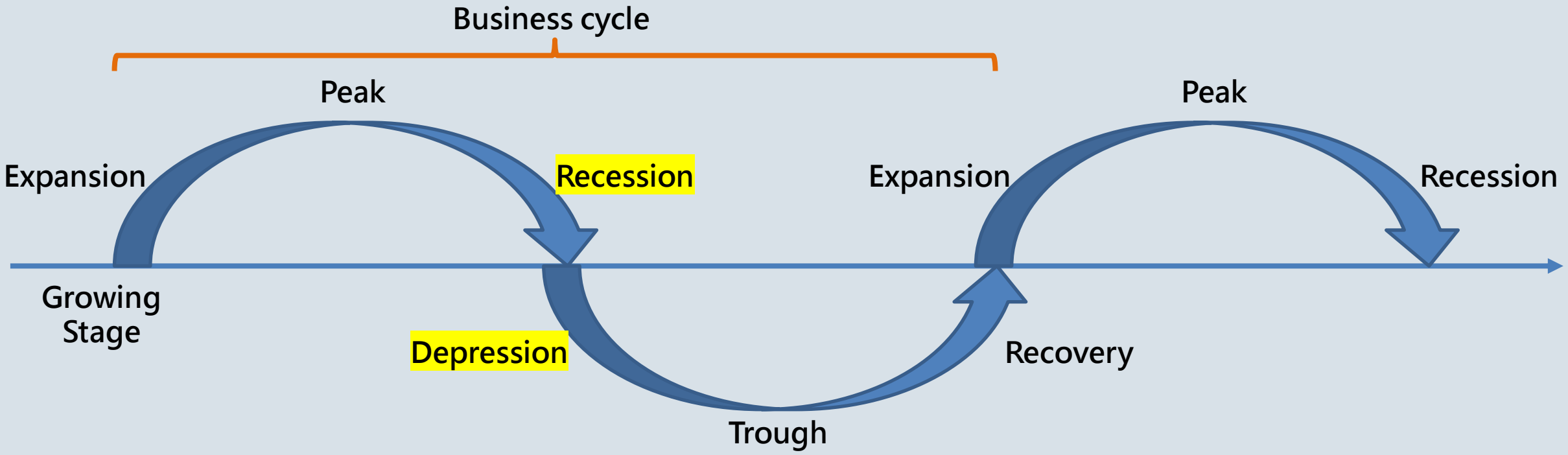
Business Cycle

3. Recession

The recession is the stage that follows the peak phase. The demand for goods and services starts declining rapidly and steadily in this phase. Producers do not notice the decrease in demand instantly and go on producing, which creates a situation of excess supply in the market. Prices tend to fall. All positive economic indicators such as income, output, wages, etc., consequently start to fall.

4. Depression

There is a commensurate rise in unemployment. The growth in the economy continues to decline, and as this falls below the steady growth line, the stage is called a depression.



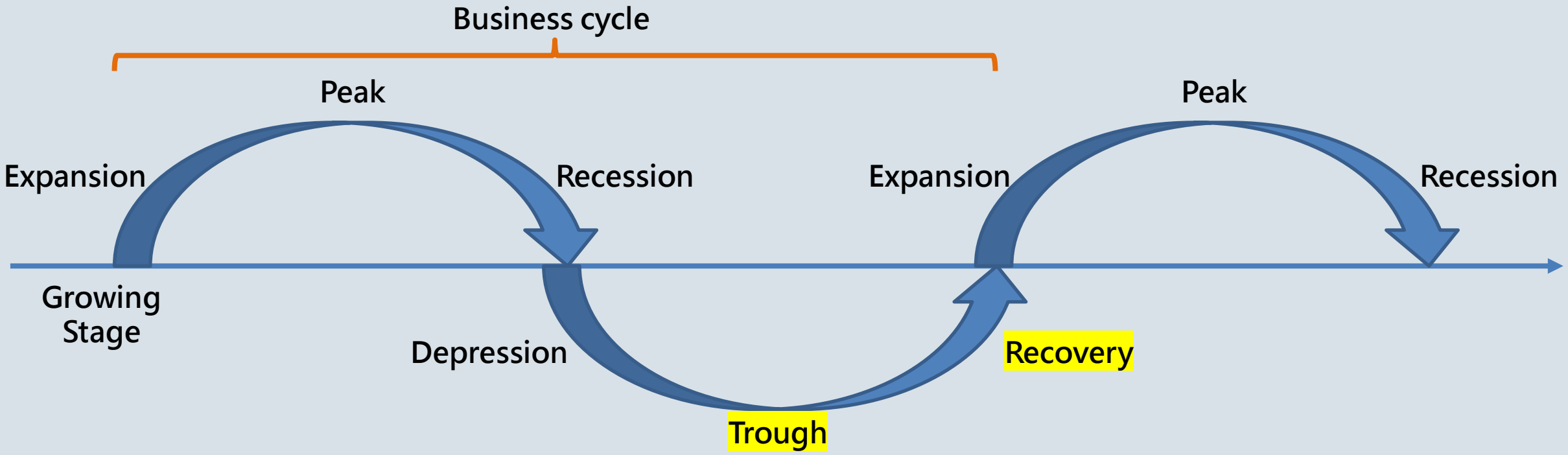
Business Cycle

5. Trough

In the depression stage, the economy's growth rate becomes negative. There is further decline until the prices of factors, as well as the demand and supply of goods and services, contract to reach their lowest point. The economy eventually reaches the trough. It is the negative saturation point for an economy. There is extensive depletion of national income and expenditure.

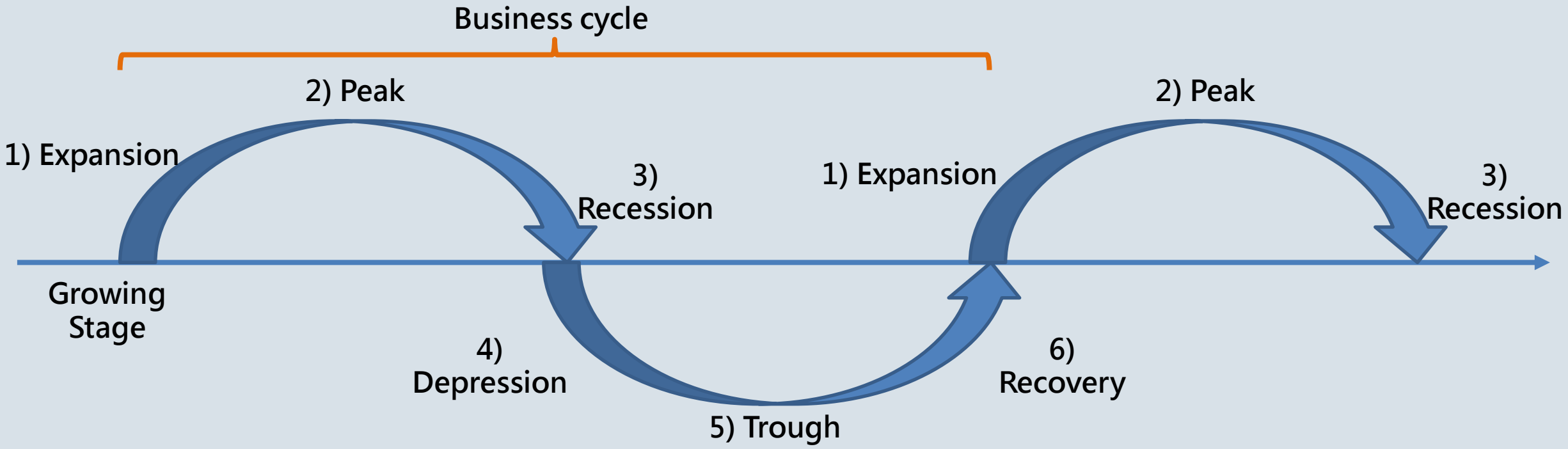
6. Recovery

After the trough, the economy moves to the stage of recovery. In this phase, there is a turnaround in the economy, and it begins to recover from the negative growth rate. Demand starts to pick up due to low prices and, consequently, supply begins to increase. The population develops a positive attitude towards investment and employment and production starts increasing.



Business Cycle

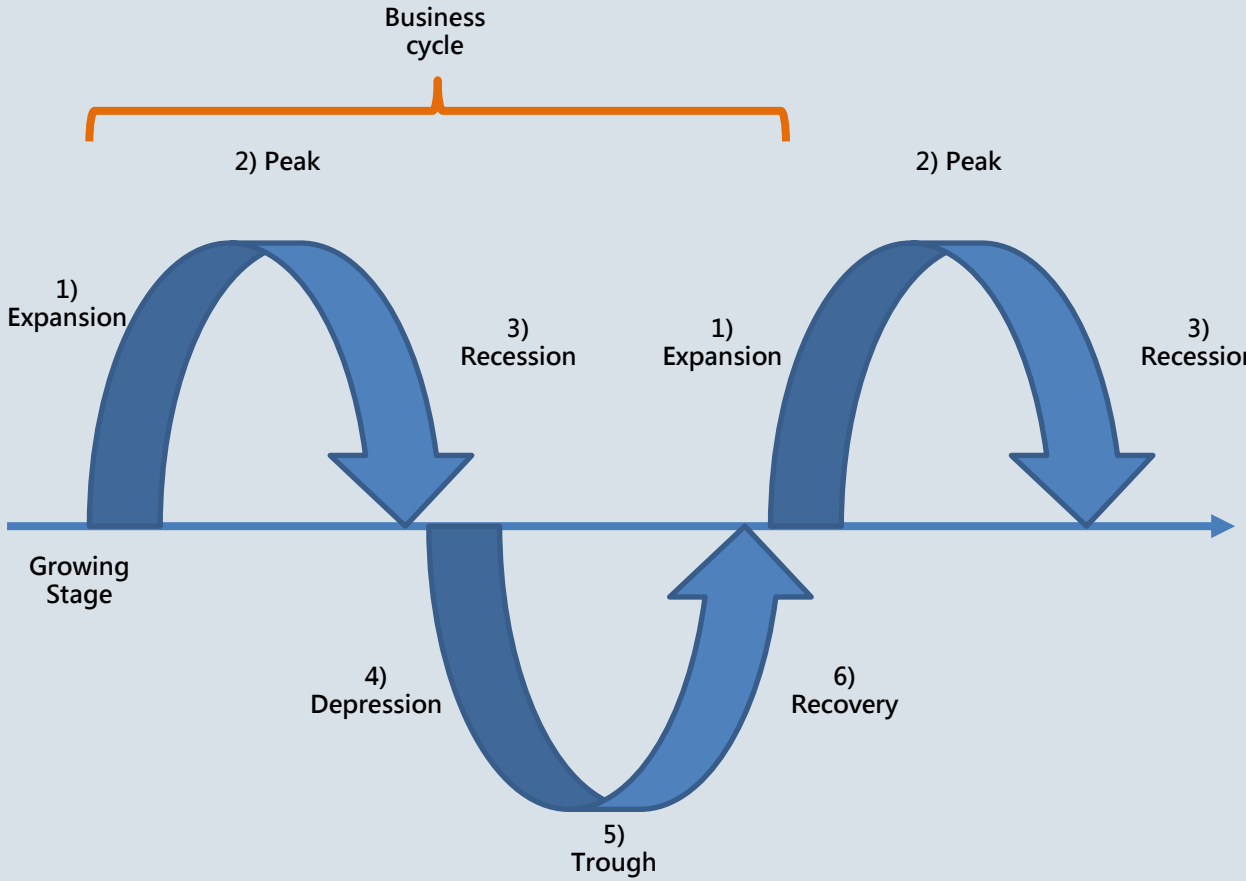
When business from growing stage (phase 0) to business expansion (phase 1) reaches the peak point (phase 2), it will enter the recession (phase 3) and then depression (phase 4). It means that the business will enter downside. Then it will reach the trough point (phase 5). Then it will start the recovery (phase 6) to enter the expansion (phase 1) again.



Business Cycle

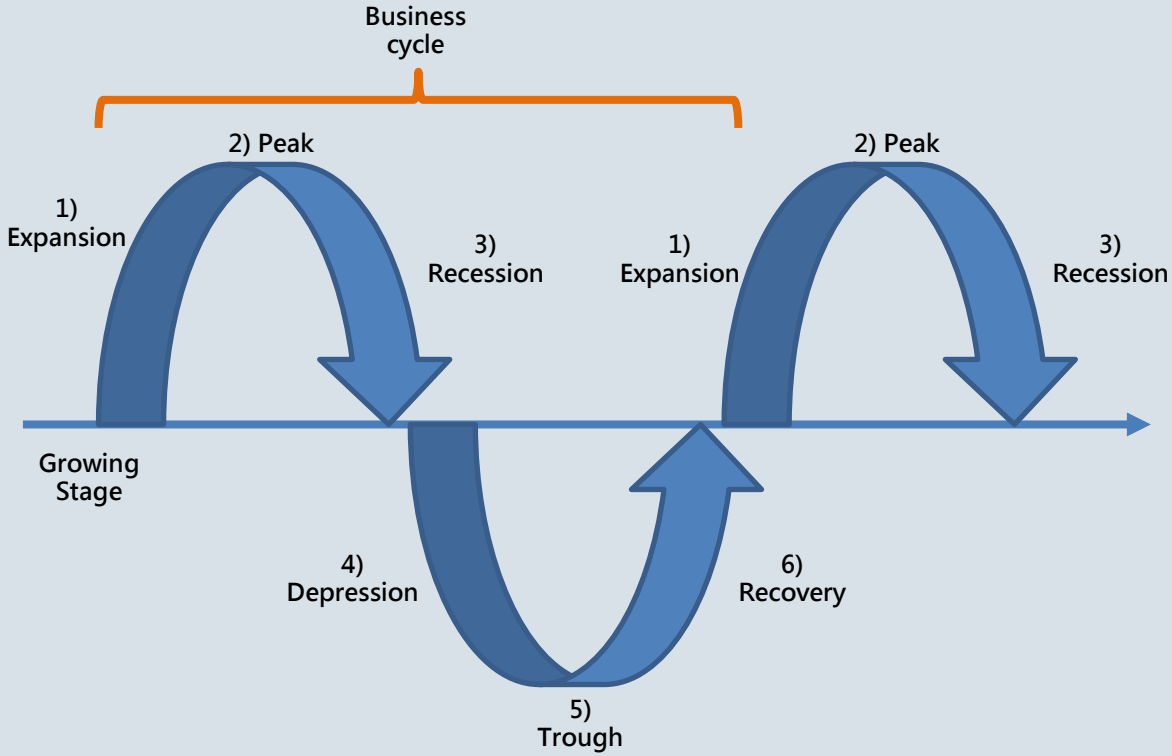
If you were an investor, which phase do you want to invest? Why?

1. From growing stage to business expansion phase
2. From business expansion phase to peak phase
3. From peak phase to recession phase
4. From recession phase to trough phase
5. From trough phase to business recovery phase
6. From business recovery phase to business expansion phase

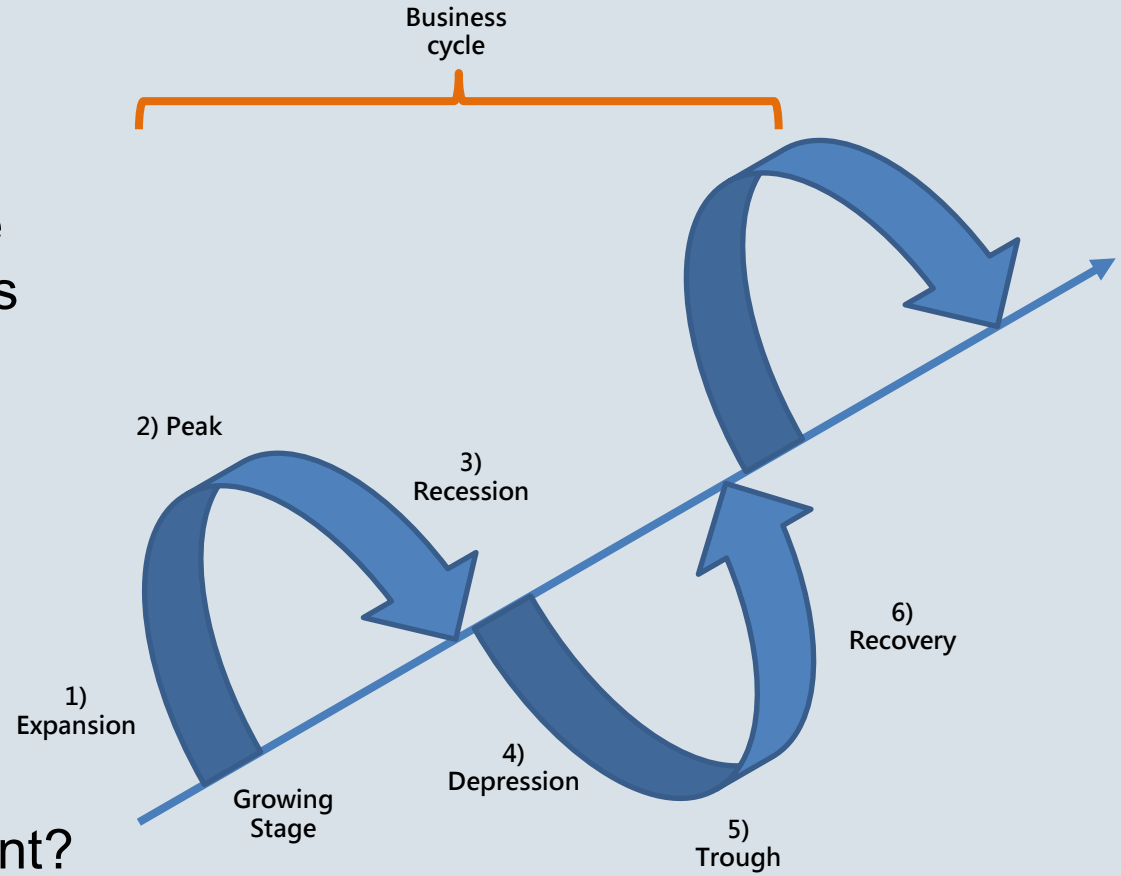


Business Cycle

How to develop your company sustainably?



Increase resources



Is fundraising suitable for sustainable development?

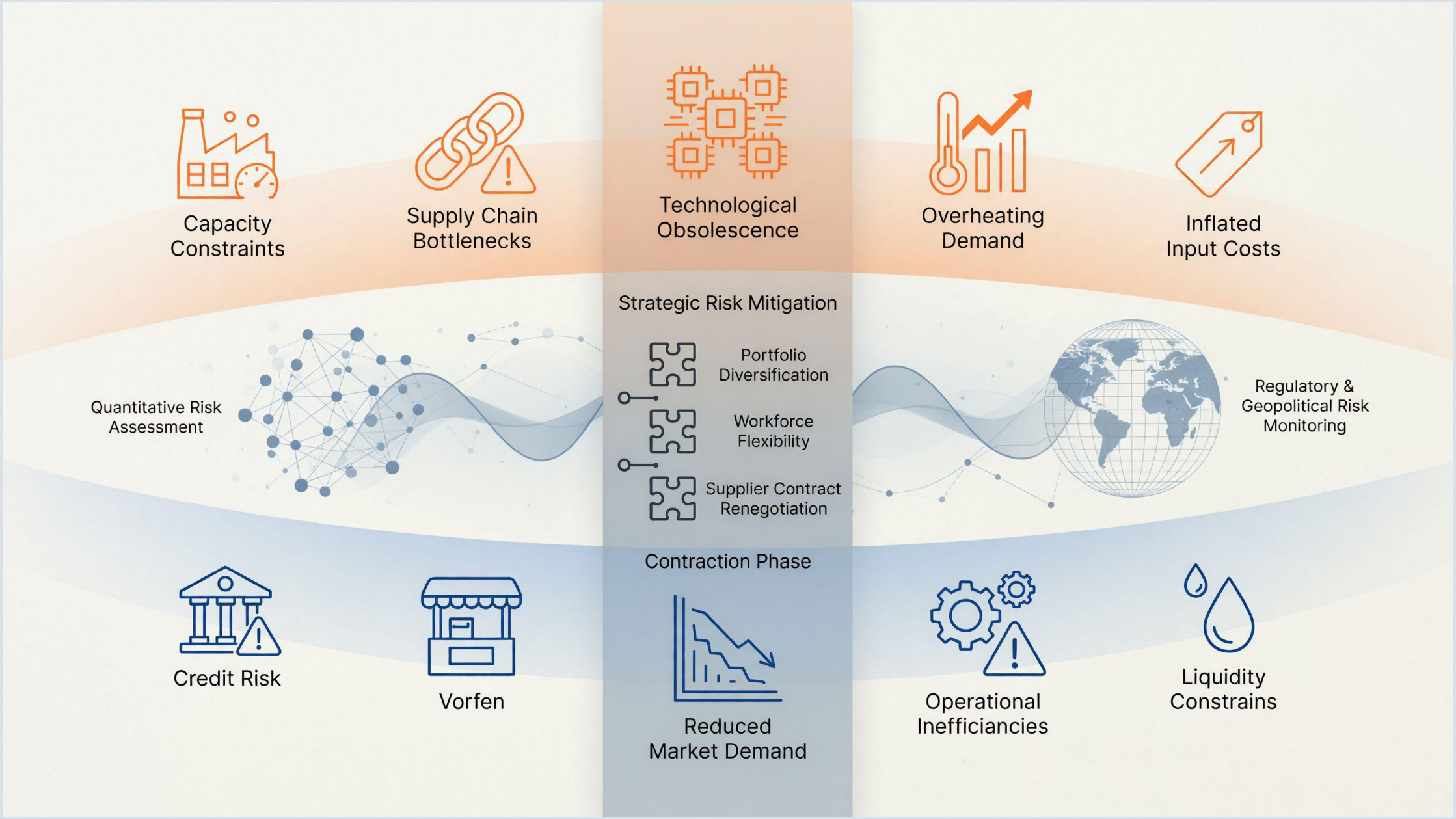
Impact of Economic Cycles on Tech Companies



Quantitative Analysis of Business Cycles



Risk Assessment during Different Business Cycle Phases



Practical Applications



Strategic Planning Using Business Cycle Insights



Chapter 3: Introduction to Business Model

Ir Prof Alan Lam, JP



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Introduction to Business Models



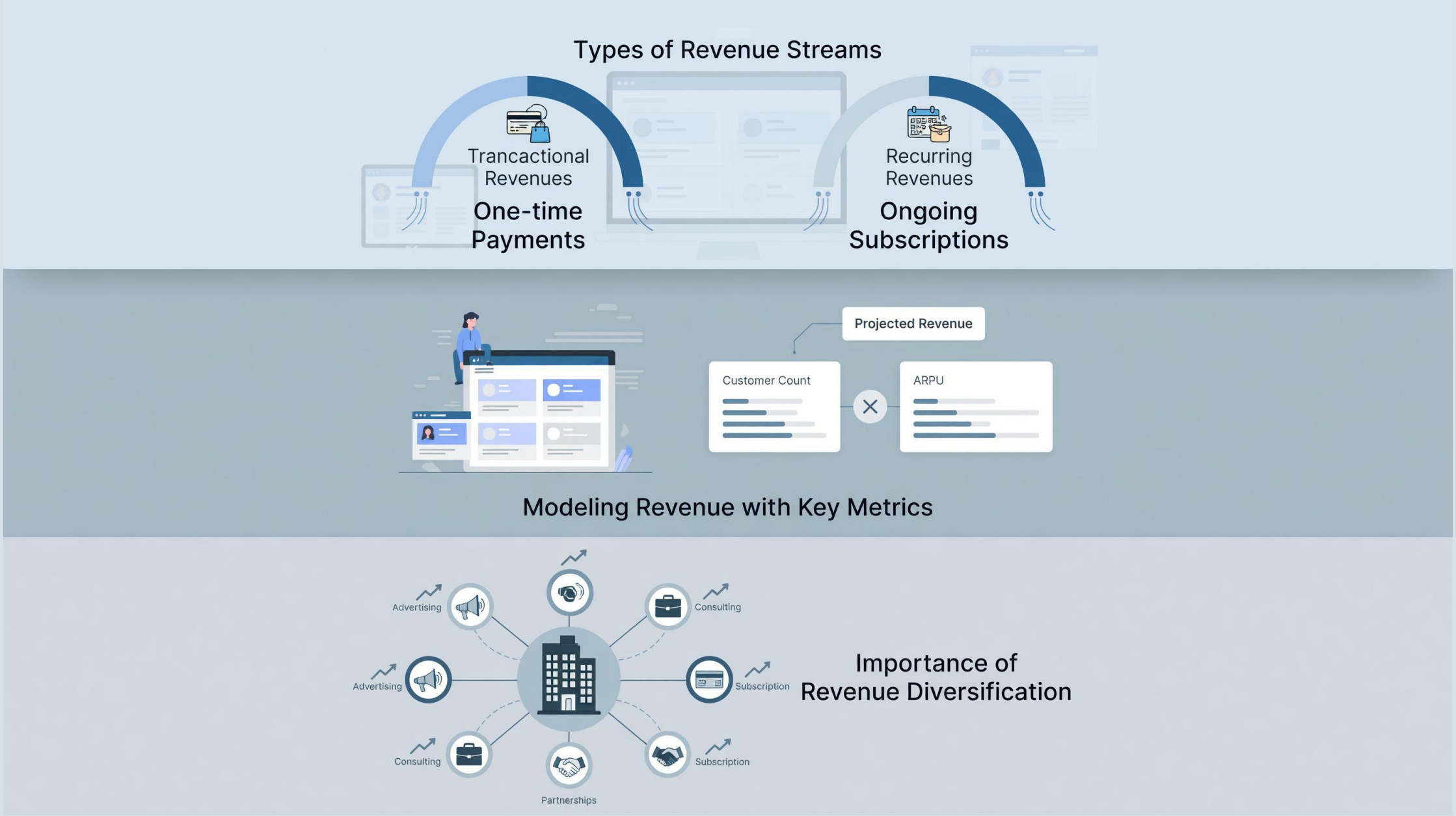
Definition and Purpose of Business Models



Components of a Business Model



Revenue Streams Analysis



Cost Structure Overview



Value Propositions

Value Propositions

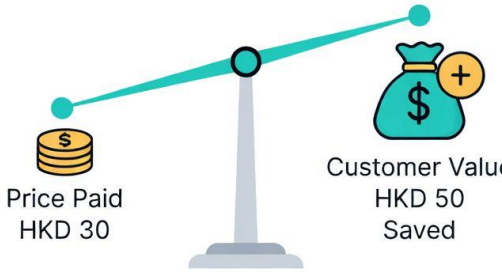
Bundle of unique products & services driving customer choice

Electrie Scooter Startup

Fast, affordable, eco transpont for urban commuters.



Value Capture Ratio



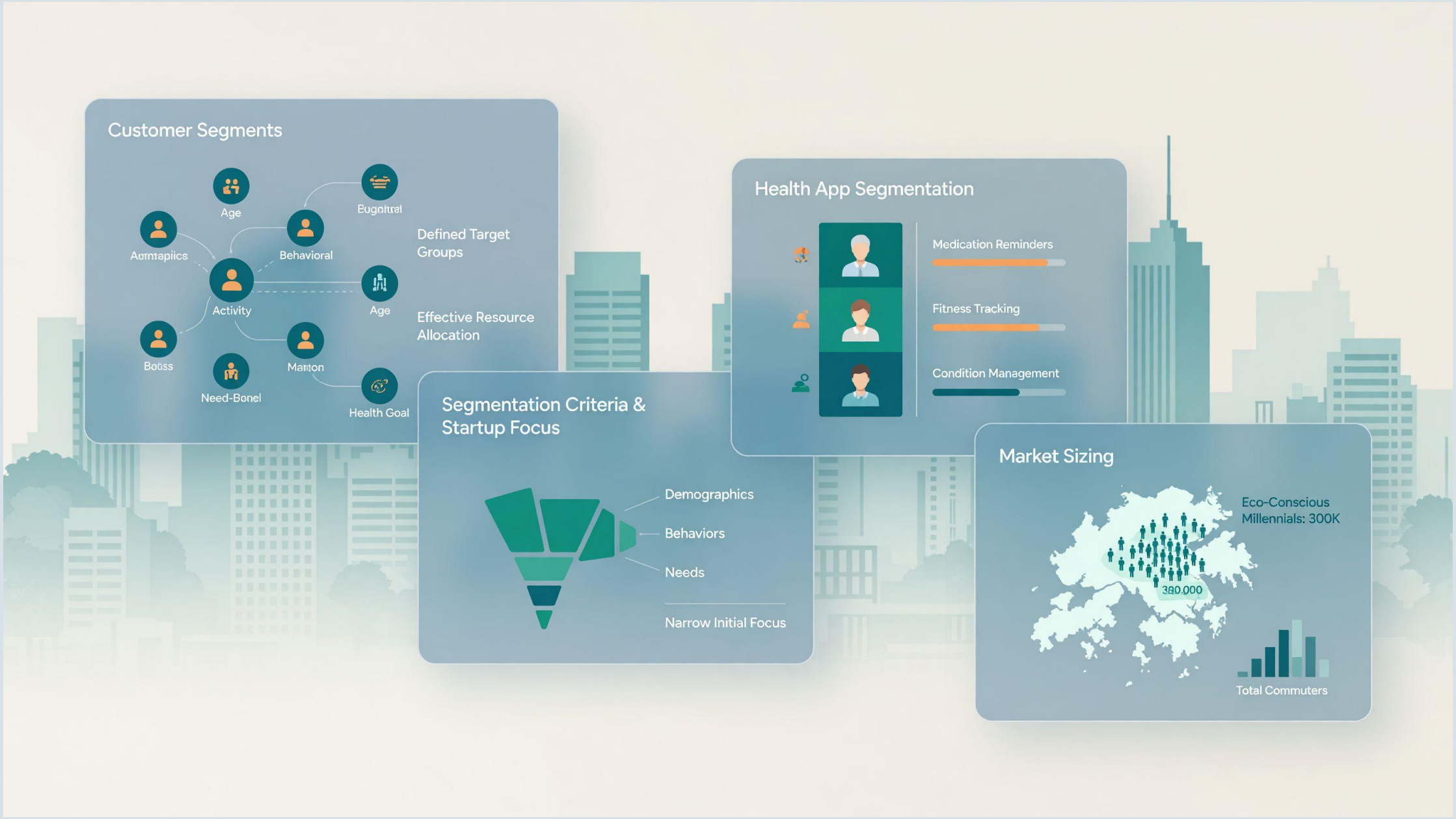
Ratio reflects compeling customer gain

Iterative Testing & Refinement

Continuous feedback → product-market fit → scaling



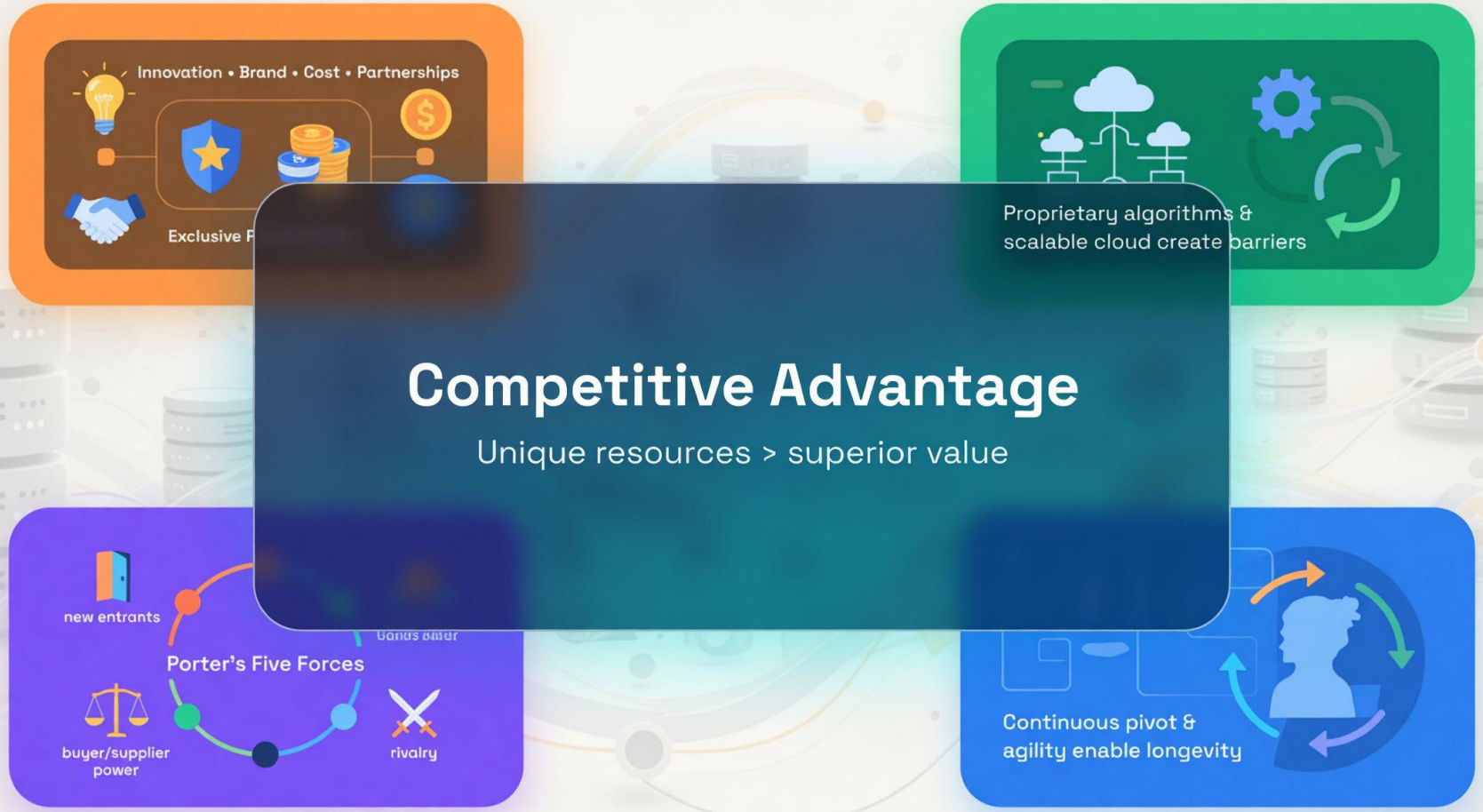
Customer Segments



Channels and Customer Relationships

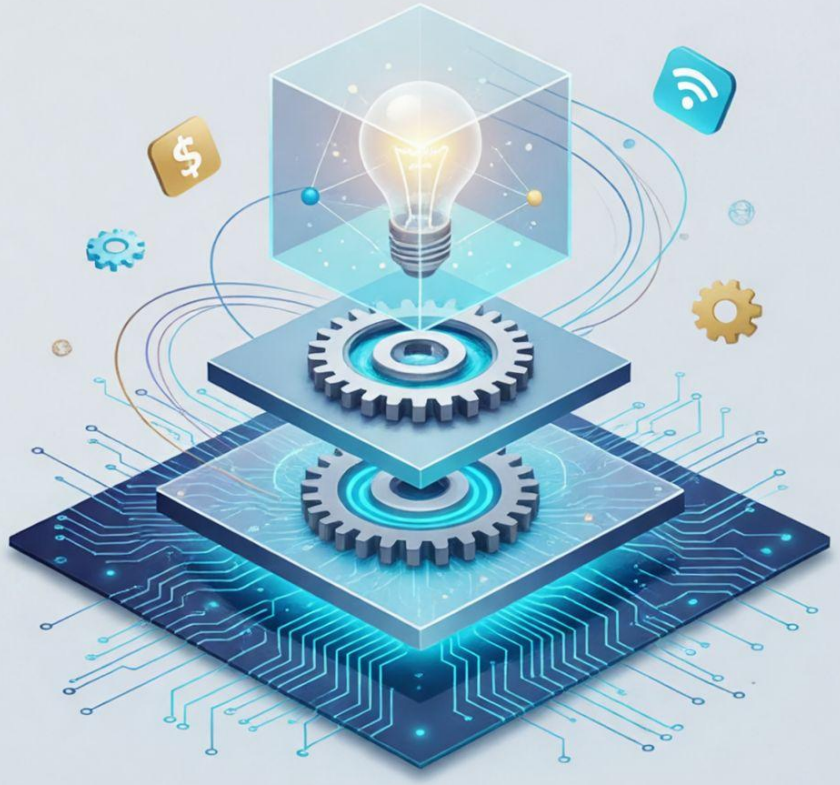


Competitive Advantage Assessment



Chapter 3: Types of Business Model

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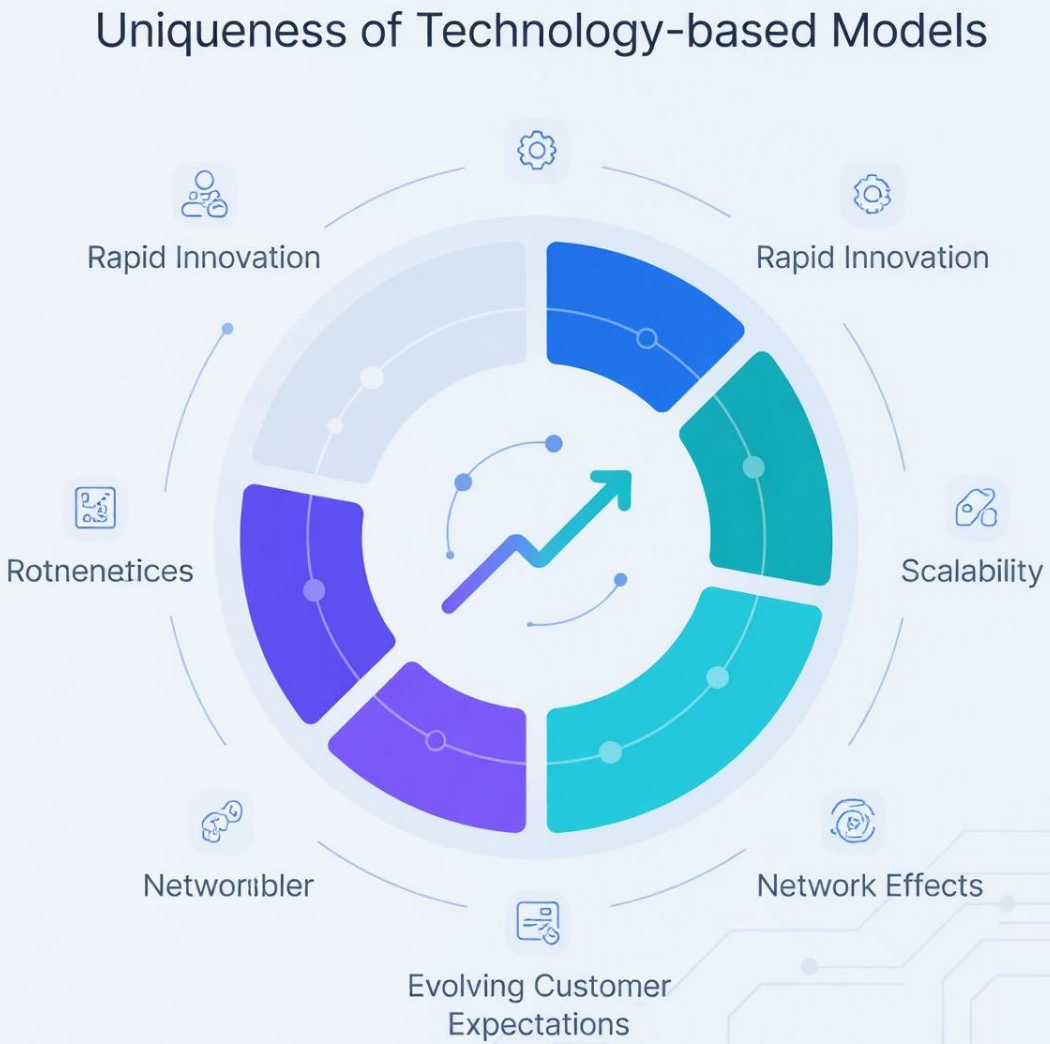
Overview of Types of Business Models

Product-oriented Models
Hardware & Software Sales

Service-oriented Models
Technical Services & SaaS

Platform-based Models
Ecosystem Connectors

Subscription & Freemium Models
Recurring & Freemium Revenue



Product-oriented Business Models



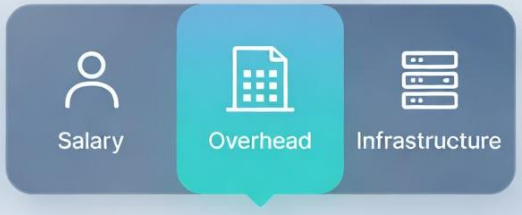
Service-oriented Business Models



Technical Expertise & Continuous Support



HKD 1,000/hour ×
1,500 hours = HKD 1.5M revenue



Margin & Client Retention



Sustainable Growth



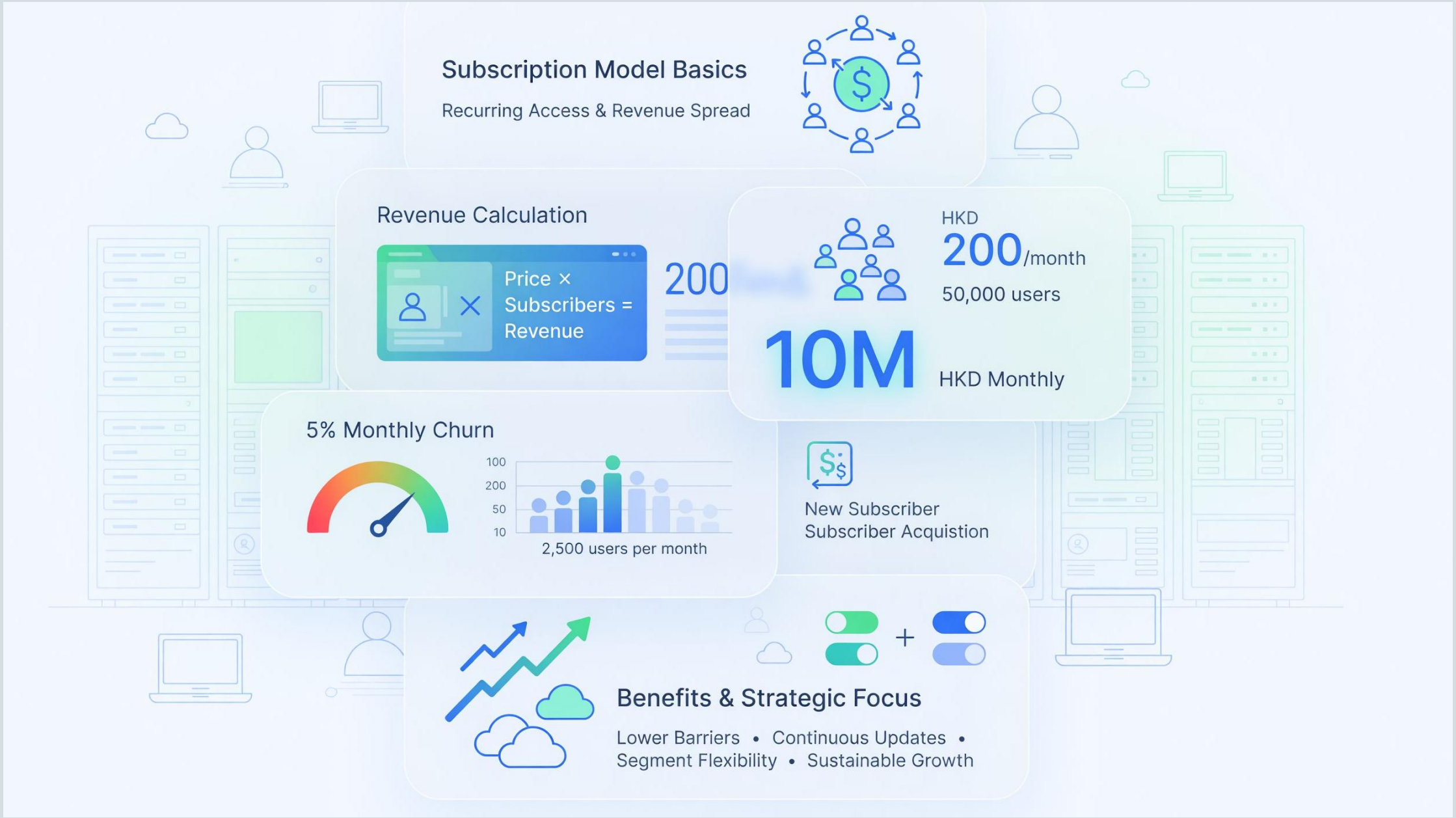
Platform-based Business Models



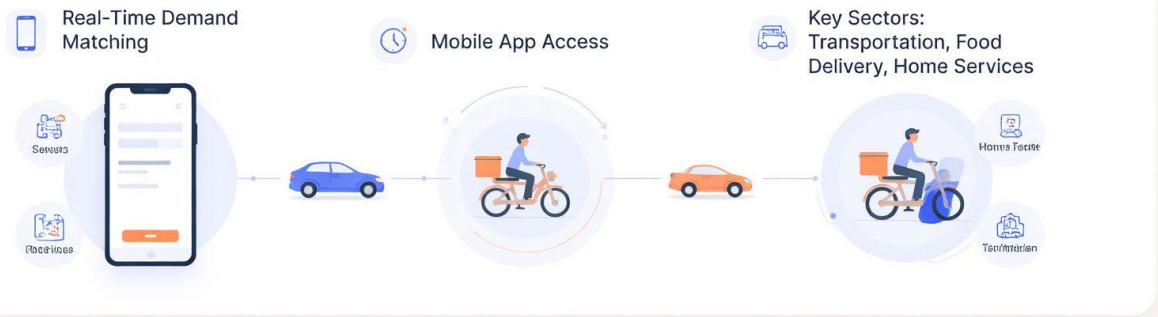
Marketplace Models



Subscription Models in Tech Industry



On-demand Business Models







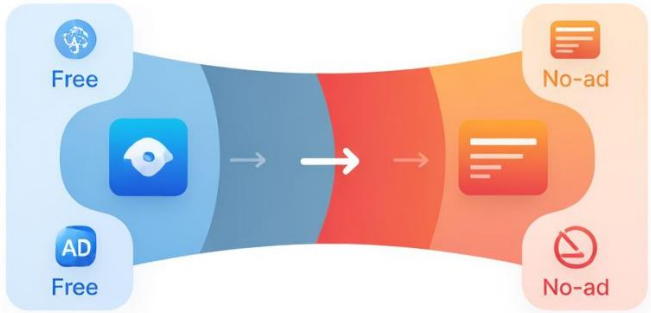


Advertising-based Models



Freemium Models and Revenue Streams

Freemium Model Overview



Actors

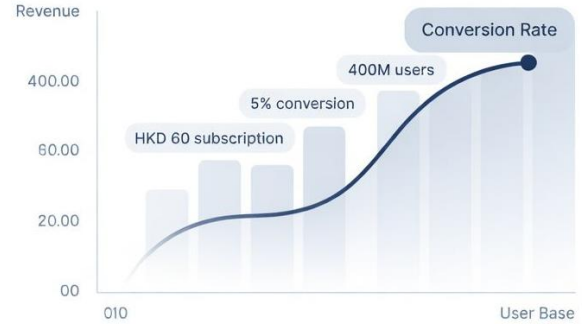
Spotify



Free streaming + Ads

Premium subscription

Financial Impact



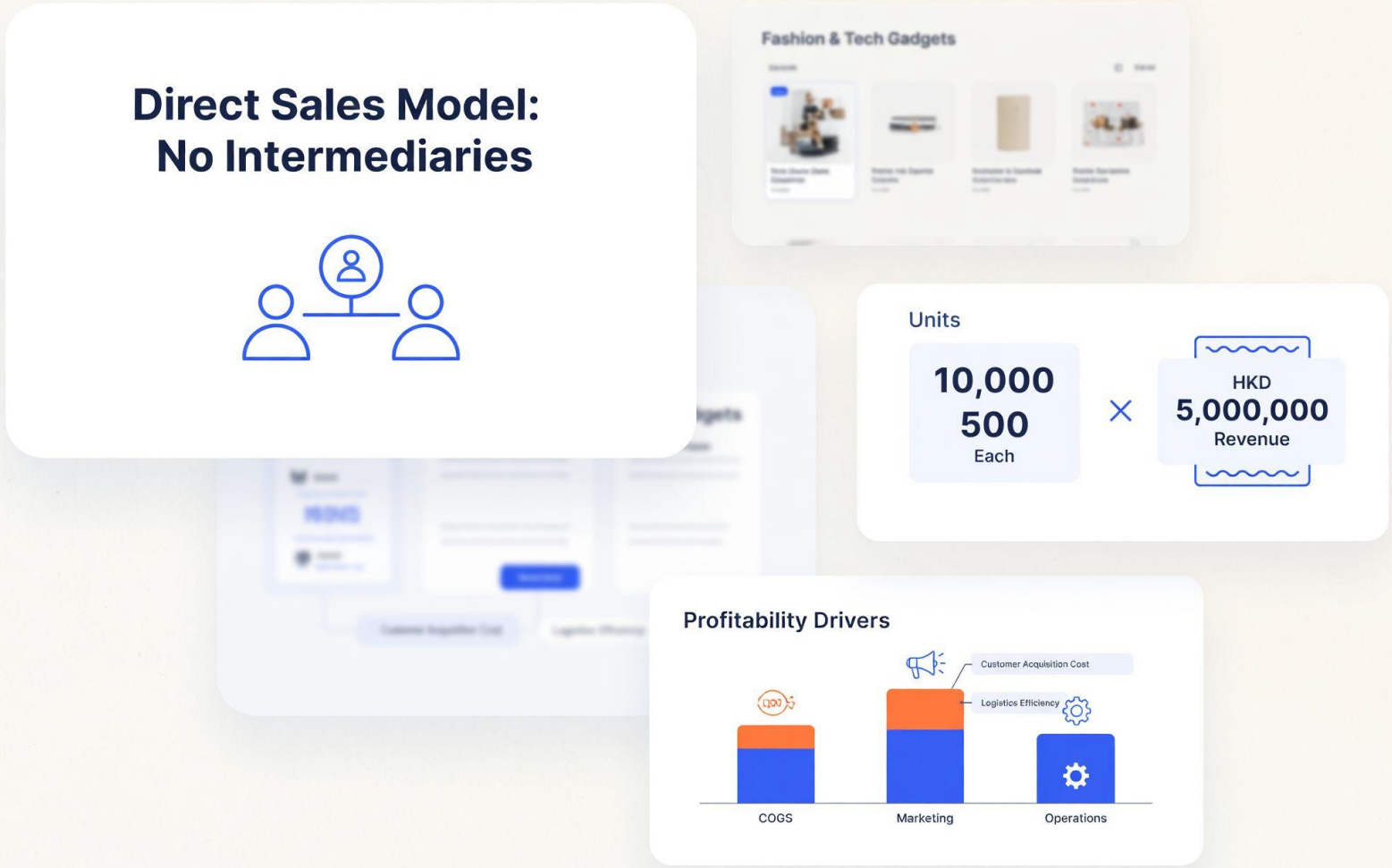
Key Success Factors



Revenue Streems



Direct Sales Models



Affiliate and Partner Models



Case Studies of Successful Tech Business Models

Facebook as Platform Esosystom Leader



2B+ Monthly Active Users

HKD 400B Revenue (2023)

Targeted Advertising

Acquistions & Innovation

User Base Size

Revenue per User

Business Model Adaptation & Growth Metrics

Churn Rate

Competitive Positioning

Salesforce's SaaS Subscription Model



HKD 120B+ Annual Revenue

Hundreds of Thousands Customers

Tiered Subscription Plans

Chapter 5: Introduction to Business Model Canvas

Ir Prof Alan Lam, JP

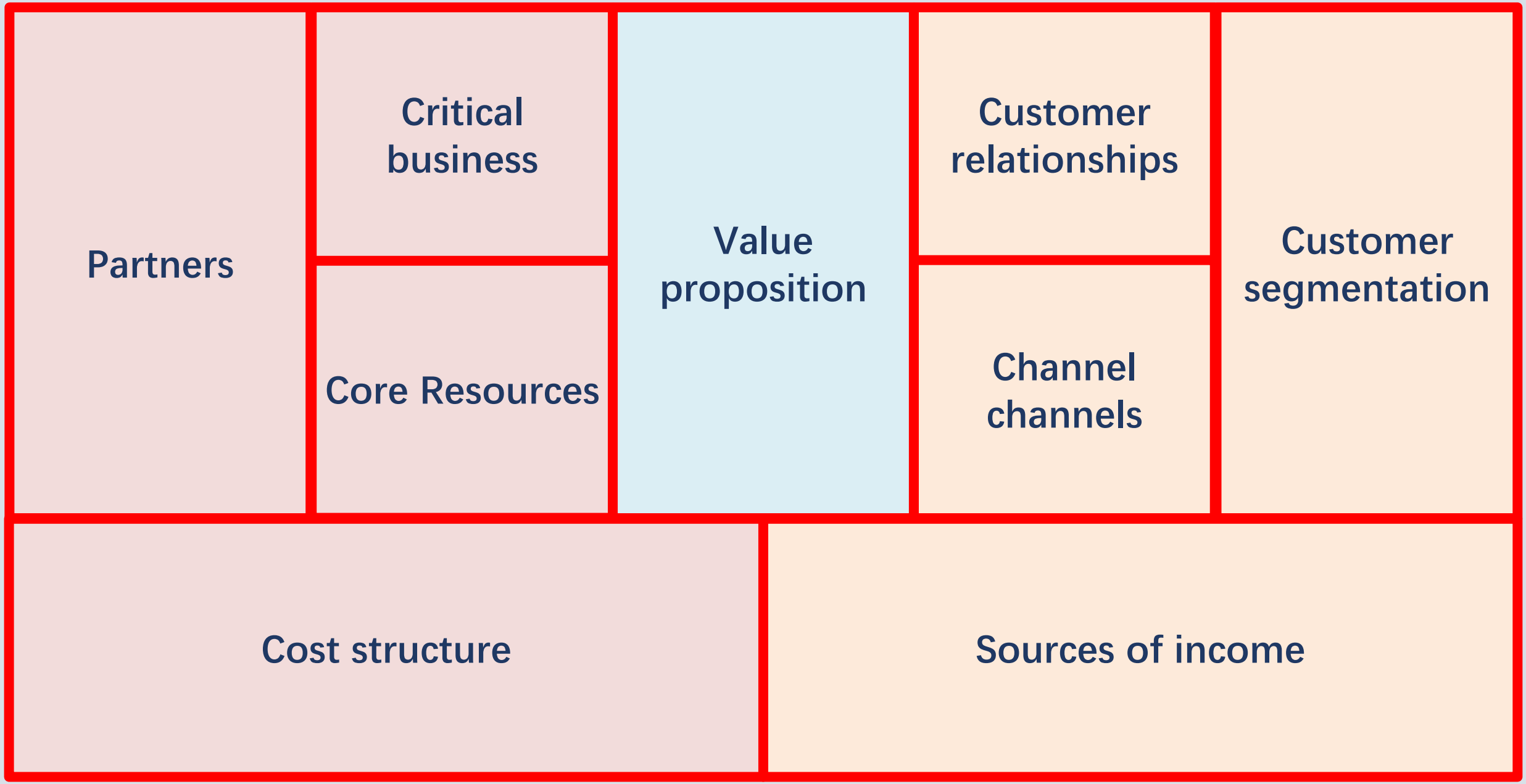


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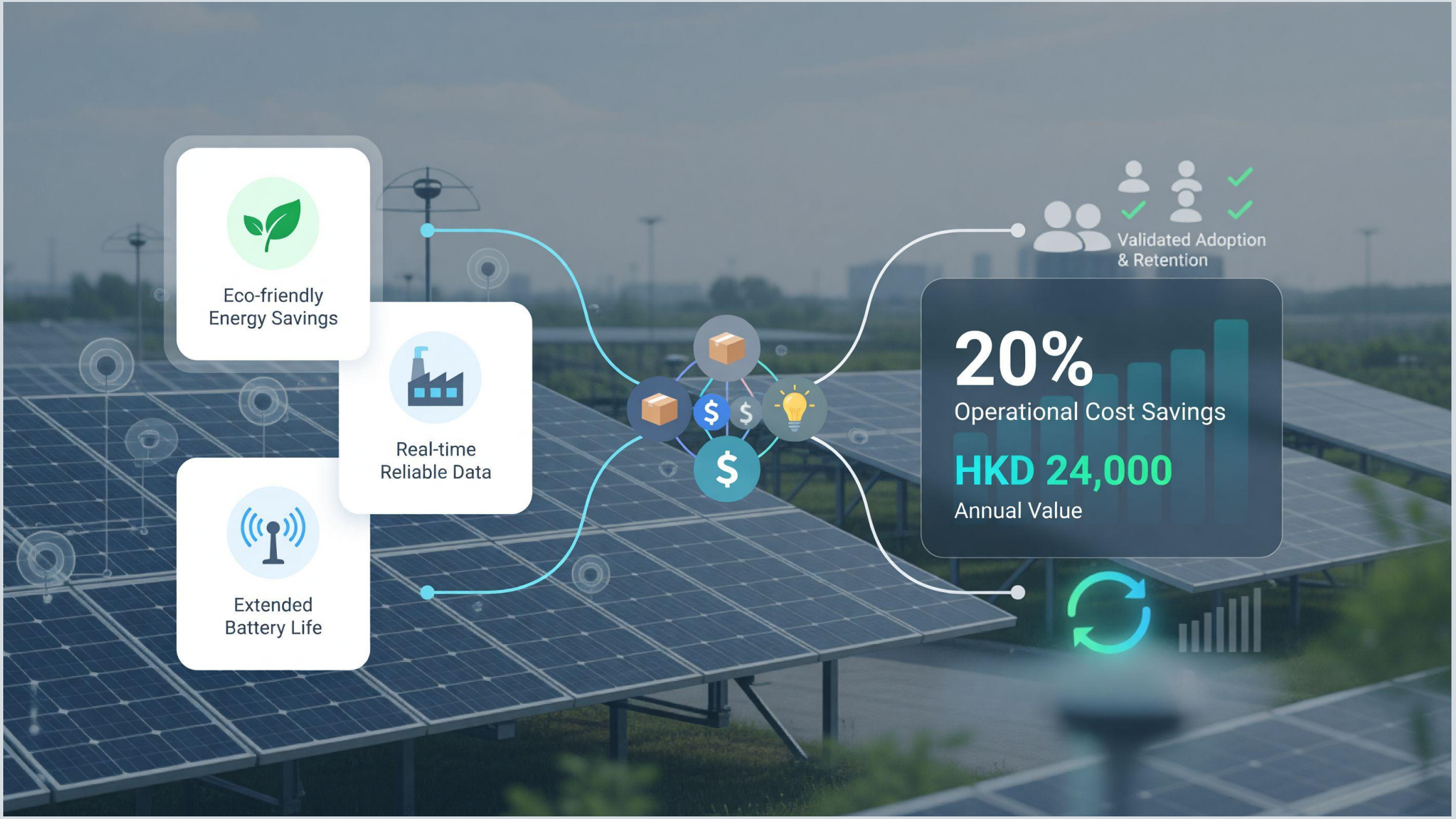
Introduction to Business Model Canvas



Elements of the Business Model Canvas



Value Propositions



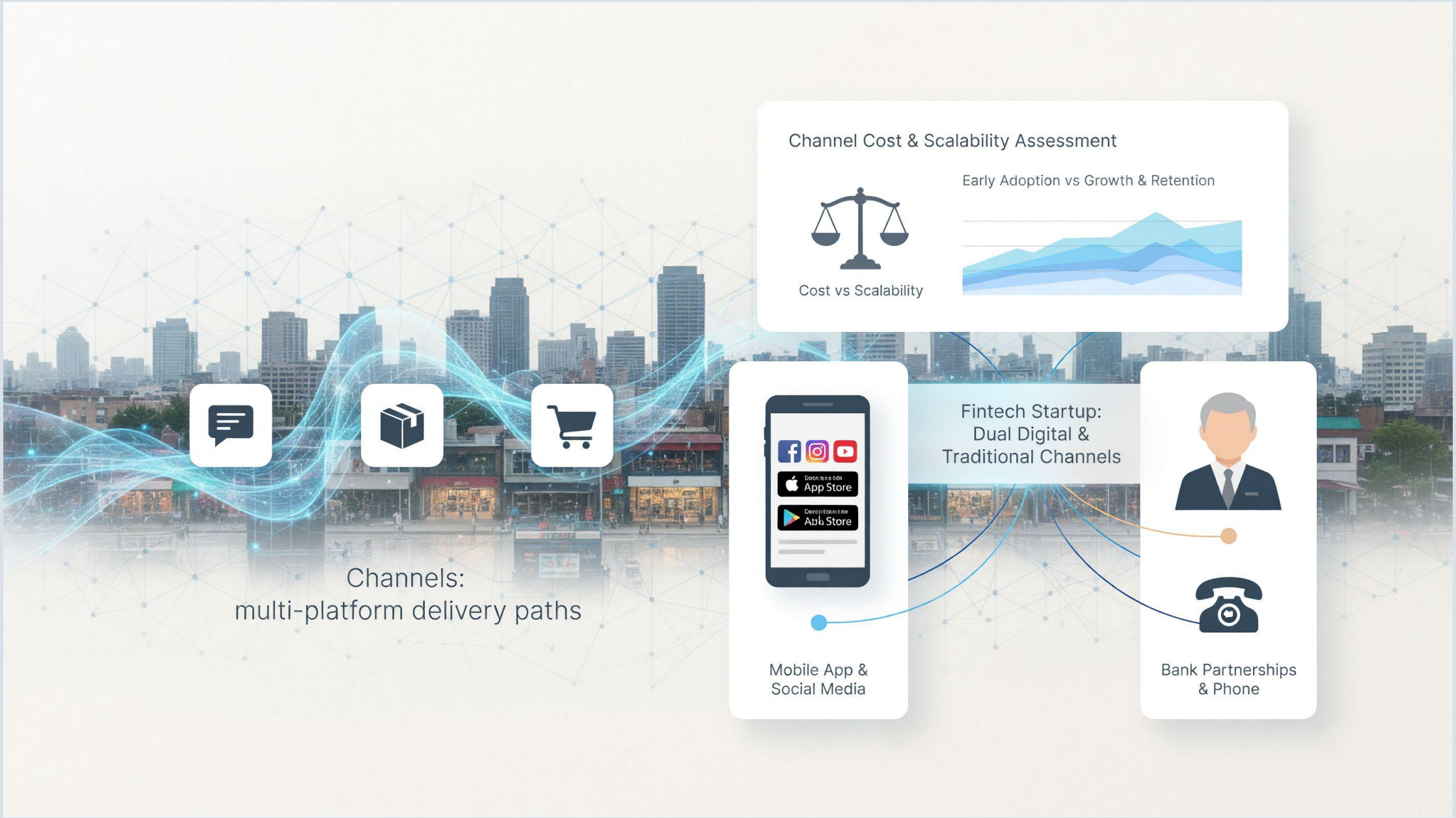
Customer Segments



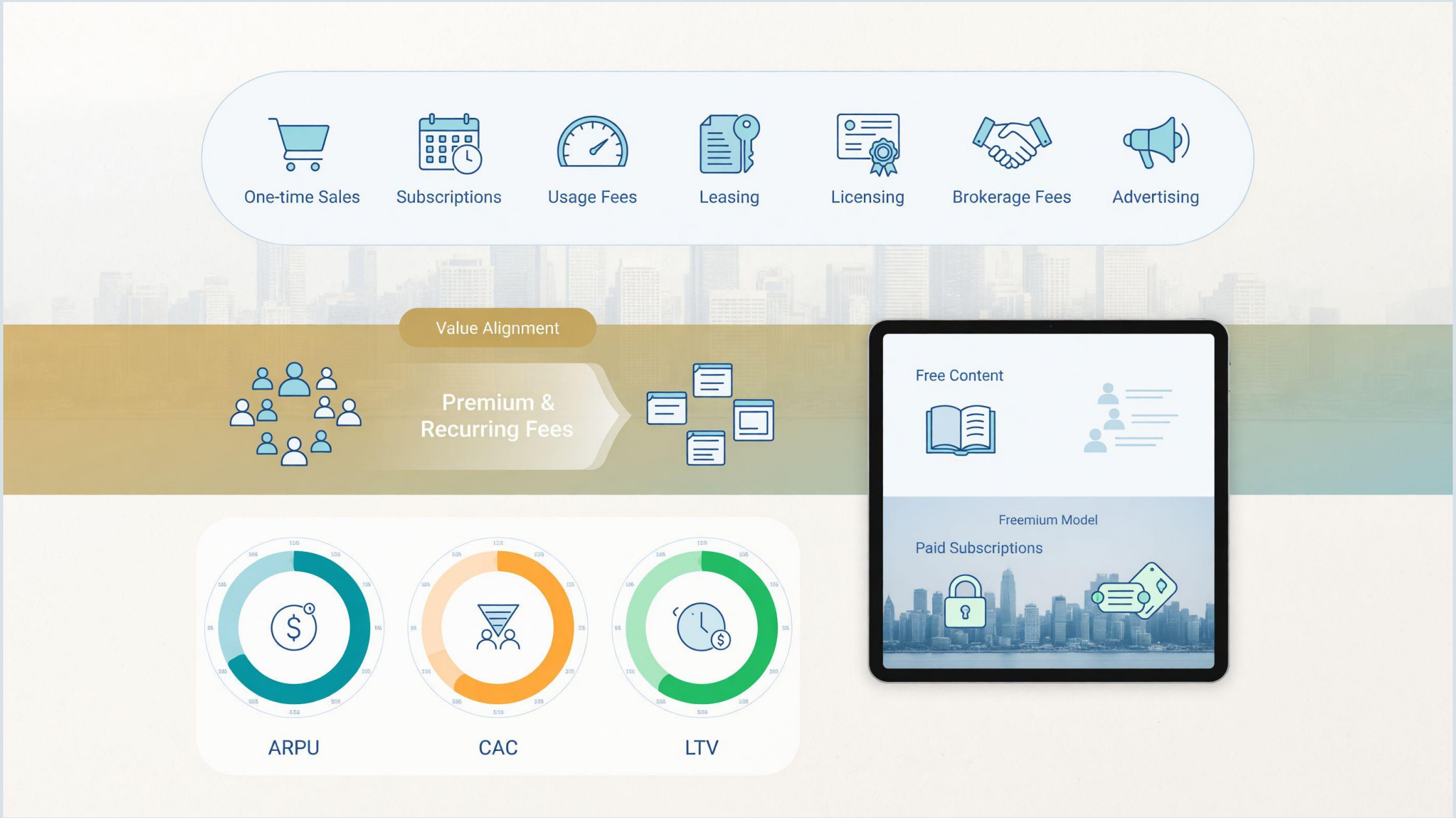
Customer Relationships Strategies



Channels Planning



Revenue Streams Identification



Key Resources and Activities Explained



Key Partnerships Utilization



Cost Structure

Key Partnerships

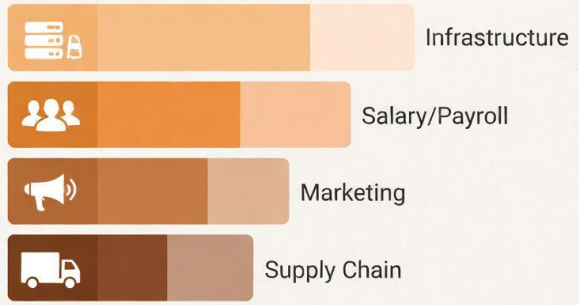


Hong Kong Fashion Startup Example

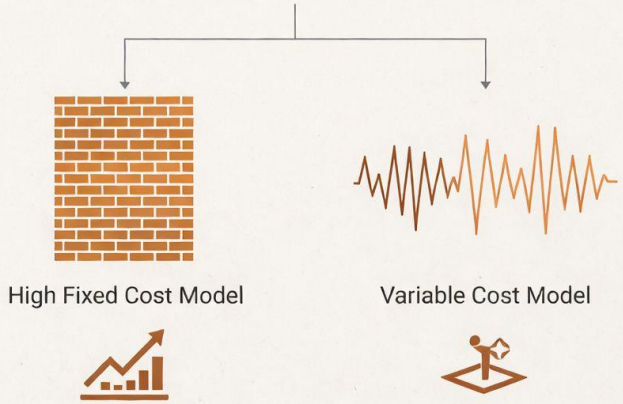
Financial Discipline and Optimization



Cost Structure Composition



Cost Structure Alignment and Models



Chapter 6: Successful Example - Facebook for Successful Business Model and Transformation

Ir Prof Alan Lam, JP



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Facebook’s Business Model Evolution



Key Revenue Streams and Monetization Strategies

Advertising as Core Revenue



Revenue Dependence and Risks

97%
Advertising Revenue

-

Data Privacy Risks

Diversification into VR & Subscriptions

VR Hardware

Metaverse Subscriptions

Marketplace & Partnerships + Cross-Platform Monetization

Marketplace Transactions

Integrated Platforms

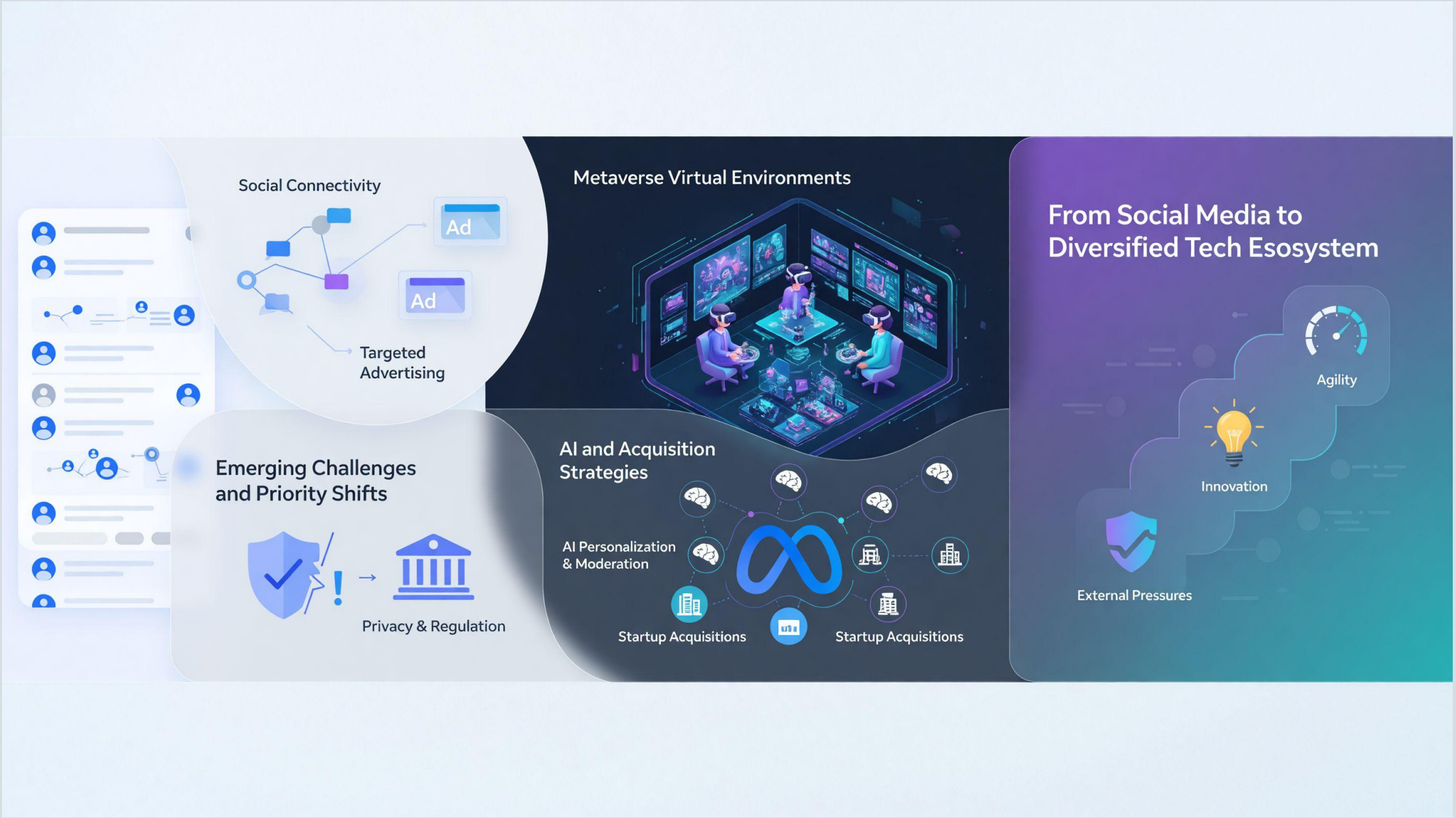
User Growth Analysis



Advertising Model and Financial Metrics



Platform Transformation Over Time



Strategic Business Model Adaptations



In-Class Discussion:

- Please based on the today's lecture to summarize what did you learn.
- Based on your project to work out the business model canvas.
- Make one Slide about the business model based on the business model canvas.



Reference:

- https://www.apm.org.uk/resources/what-is-project-management/
- https://www.investopedia.com/terms/p/project-management.asp
- https://www.projectmanager.com/guides/project-management
- https://www.usability.gov/what-and-why/project-management.html



Ir Prof Alan Lam, JP
Adjunct Professor

End of Presentation
Thank You